



Thinking Green

Creating a business that focuses on sustainability or other green issues will not only help the fight against climate change but can also boost your company's image and reputation.

Taking action

To become sustainable, a business must try to limit its carbon footprint as much as possible. It should take action to reduce any adverse effects while increasing any positive ones.

From a business point of view, a green image can be beneficial. More and more customers like to buy from companies that can show they care about the environment. When they buy a product or service, they want to know it is created sustainably. An environmentally responsible business also tends to attract employees who prefer to work for a company that takes an ethical approach.

Additionally, reducing waste—whether by using less electricity and fewer raw materials helps lower costs. Sustainability pays other financial dividends, too, as more governments around the world impose taxes and restrictions on companies that pollute or otherwise damage the environment.

Achieving sustainability

One good way to think about the sustainability of a business is to divide it into three stages. The first is the inputs (source materials) it requires. If producing clothes, for example, that could be the fabric used, or if running a café, it would be the food ingredients. Consider where these materials come from. Are they produced sustainably? If not, are there

other options, such as natural or recycled fabrics, or food products that carry the Fair Trade logo, showing that they are produced ethically (see pp102–103)? With careful sourcing, greener options are affordable, especially if the business ensures that there is minimal waste. However, running a green business might require more initial investment

Thinking local

Using local suppliers creates goodwill, benefits the community, and helps a business reduce its carbon footprint.

LOCAL RESOURCES

By sourcing raw materials and supplies locally, and hiring local staff, a new business can keep its fuel costs low and build good local relationships. Waste or unwanted goods can prove an invaluable resource for local innovative recycling ventures.

ENVIRONMENTAL STANDARDS

Your business will need to follow the environmental standards imposed by the government (see pp.212–125). These cover activities such as waste disposal, and air and water pollution. You might also follow voluntary standards, such as choosing to produce only organic food. Compliance with mandatory standards is crucial to avoid penalties, whereas adopting voluntary standards can make a product more attractive to customers and add value.

